

Gimmick ABFL 05 2023

Originator: Spandana Sphoorty Financial Limited

February 13, 2025

Transaction	Instrument	Rating ¹	Rating Action
Gimmick ABFL 05 2023	Series A1 PTCs	-	Withdrawn

Details of instruments/facilities in Annexure-1

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has withdrawn the rating assigned to the above-mentioned instruments issued by Gimmick ABFL 05 2023 backed by microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL). The rating is withdrawn as payouts have been made to the investors in full and there is no amount outstanding as on date.

Detailed description of key rating drivers: Not applicable

Analytical approach: Not applicable

Applicable criteria

[Policy on Withdrawal of ratings](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through joint-liability group (JLG) model, primarily to borrowers belonging to low-income household in 1997. In 2003, the company was registered with the Reserve bank of India (RBI), as a non-deposit taking non-banking finance company (NBFC-ND) and is currently registered under the new category of NBFC-MFI. The company went into corporate debt restructuring (CDR), post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds ~15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%) and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, and the CFO, Ashish, have prior experience in Bharat Financial. The positions of CTO, CBO, and CXO were also filled thereafter by Kedaara Capital.

SSFL has a presence in 20 states with 1570 branches. The portfolio is diversified, as Odisha constituted the maximum of 13.60%, but the top four states constituted 48.81% of the portfolio. SSFL is focused on its micro-credit business and follows JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages 1-3 groups, with each group consisting of 8-12 members.

Key financial indicators

Particulars	FY22 (A)	FY23 (A)	FY24 (A)	Q1FY25 (UA)
Total income (₹ crore)	1,392	1,394	2,407	689
PAT (₹ crore)	47	12	468	51
Net worth	3,031	3,043	3,556	3,614
D/E Ratio	1.20	1.95	2.53	2.33
Net NPA (%)	6.78	0.58	0.29	0.52
ROTA (%)	0.68	0.16	4.24	1.63

A: Audited; UA: Unaudited; Note: these are latest financial results available.

¹Complete definition of ratings assigned are available at www.careedge.in and other CARE Ratings Limited's publications.

Any other information: Not applicable

Status of non-cooperation with previous CRA: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass-through certificates	INE0Q7E15017	24-05-2023	11.25%	18-12-2024	0.00	Withdrawn

Annexure-2: Rating history of last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass-through certificates	LT	-	-	1)CARE A+ (SO) (16-Aug-24)	1)CARE A+ (SO) (25-Aug-23) 2)Provisional CARE A+ (SO) (22-May-23)	-	-

LT-Long Term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Name: Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Name: Pradeep Kumar V Senior Director CARE Ratings Limited Phone: +91-44-2849 0876 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Name: Sriram Rajagopalan Director CARE Ratings Limited Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Name: Chirag Gambhir Associate Director CARE Ratings Limited Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in Name: Shanmuga Ramachandran Lead Analyst CARE Ratings Limited E-mail: Shanmuga.r@careedge.in
---	--

About us:

Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

Disclaimer:

The ratings issued by CARE Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. These ratings do not convey suitability or price for the investor. The agency does not constitute an audit on the rated entity. CARE Ratings has based its ratings/outlook based on information obtained from reliable and credible sources. CARE Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. Most entities whose bank facilities/instruments are rated by CARE Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CARE Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. In case of partnership/proprietary concerns, the rating/outlook assigned by CARE Ratings is, inter-alia, based on the capital deployed by the partners/proprietors and the current financial strength of the firm. The ratings/outlook may change in case of withdrawal of capital, or the unsecured loans brought in by the partners/proprietors in addition to the financial performance and other relevant factors. CARE Ratings is not responsible for any errors and states that it has no financial liability whatsoever to the users of the ratings of CARE Ratings. The ratings of CARE Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades.

For detailed Rationale Report and subscription information, please visit www.careedge.in